

Subject Code	AF5510
Subject Title	Corporate Governance
Credit Value	3
Level	5
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	None
Role and Purposes	This subject provides students with an understanding and application of all aspects, and the related nature, of best practices in corporate governance. It enable students to identify and analyze business ethics issues pertaining to corporate governance, explain the theoretical basis for corporate governance and apply the concepts and principles of corporate governance to current corporate governance practices in the working environment, and evaluate corporate governance systems of Hong Kong and PRC listed companies with reference to other jurisdictions.
Subject Learning Outcomes	On successfully completing this subject, students will be able to: (a) explain the theoretical basis for corporate governance; (b) identify and analyse business ethics issues pertaining to corporate governance; (c) evaluate the roles of directors, company secretary/governance professional and other relevant parties in performing corporate governance and enhancing corporate governance system of listed companies; (d) identify the features of and evaluate the corporate governance system of PRC companies by reference to corporate governance systems of other developed jurisdictions; and (e) critically evaluate the effectiveness of the Hong Kong corporate governance system in protecting the interests of the investing public, the members and the creditors of Hong Kong companies.
Subject Synopsis/ Indicative Syllabus	General Historical development of the system of corporate governance. Corporate governance theories/reports/principles/codes. Corporate governance approaches. Corporate governance framework. Agency framework for evaluation of alternative corporate governance system. The role of the Companies Registry, the Stock Exchange and the Securities and Futures Commission in the corporate governance system of Hong Kong and PRC companies. Relationship between accounting quality, auditing and corporate governance. Principles of corporate governance in non-profit sector. Business Ethics Ethical principles in business. Corporate and individual responsibilities.

Ethical dilemmas. Whistle blowing. Individual and corporate standards of behaviour. Corporate codes of conduct. Professional ethics. Ethics and environment. Social responsibility. Corporate sustainability. Stakeholders' interests. Insider trading. Conflict of interests. Ethics and international business.

Directors

The role, power, responsibilities, liability and ethical issues of executive directors, non-executive directors and independent non-executive directors. Composition, board size and diversity. Succession planning. Duties under the Companies Ordinance, the Securities and Futures Ordinance, the Listing Rules and the Codes of Takeovers and Mergers and Share Buy-backs. Qualification and disqualification of directors. Appointment and vacation of office. Induction and professional development. Corporate culture. Remuneration, loans and compensation for loss of office. Restrictions on securities dealings, Insider dealing and CEO duality. Board effectiveness and board evaluation.

Board Committees

The roles, duties and effectiveness of audit committee, remuneration committee and nomination committee.

Secretary

Qualifications, appointment and vacation of office. Roles, duties, responsibilities, liability, skills and ethical issues. The role of the company secretary/governance professional in the corporate governance system.

Auditor

The position, duties, responsibilities, liability and ethical issues of auditors. Appointment, termination and vacation of office. Access to corporate information. The role of the auditor in the corporate governance system. Relationship with audit committee. Audit quality. Auditors' independence and non-audit services. Role of the Accounting and Financial Reporting Council in the corporate governance system.

Risk management and internal control

IT governance. The role of the board in risk management and internal control. Establishment and review of risk management and internal control systems. Risk management committee. Cybersecurity and data protection and privacy law.

Disclosure of Information

Disclosure of corporate information (including financial reporting). Contents of director's report. ESG reporting. Notifiable and connected transactions. Loan transactions. Disclosure of interests in shares and debentures. Disclosure of directors' dealings in securities. Voluntary disclosures.

Rights of shareholders and shareholder engagement

Right of access to corporate information. The law relating to meetings of shareholders and appointment and removal of directors. Protection of shareholders from abuses (e.g. insider dealing, connected

	transactions). Restrictions in securities dealings by directors. Communications with shareholders. Shareholder activism. Institutional shareholder role and responsibilities in the corporate governance system. Stakeholder engagement Stakeholder relations. Stakeholder engagement by the board. The role of company secretary/governance professional in stakeholder engagement. Corporate Governance in the PRC The position, power, duties, responsibilities and ethical issues of directors, managers and the supervisory committee. The role of the directors, independent directors, managers, secretaries and the supervisory committee in the corporate governance system of the PRC. Qualification and disqualification of directors, managers, secretaries and members of the supervisory committee. The role and functions of China Securities Regulatory Commission. Other jurisdictions Corporate governance in USA, Europe and Asia.																																																												
Teaching/Learning Methodology	Lectures emphasize concepts and key principles of corporate governance with reference to the practical application in the workplace. Seminars provide students with a forum for discussion on the application of concepts to current corporate governance practices in their working environment. Students are required to present cases, problems or articles in seminars.																																																												
Assessment Methods in Alignment with Subject Learning Outcomes	<table border="1" data-bbox="503 1197 1401 1732"> <thead> <tr> <th data-bbox="503 1197 821 1394" rowspan="2">Specific assessment methods/tasks</th><th data-bbox="821 1197 1002 1394" rowspan="2">% weighting</th><th colspan="6" data-bbox="1002 1197 1401 1323">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr> <tr> <th data-bbox="1002 1323 1058 1394">a</th><th data-bbox="1058 1323 1114 1394">b</th><th data-bbox="1114 1323 1170 1394">c</th><th data-bbox="1170 1323 1226 1394">d</th><th data-bbox="1226 1323 1282 1394">e</th><th data-bbox="1282 1323 1401 1394"></th></tr> </thead> <tbody> <tr> <td data-bbox="503 1394 821 1459">1. Discussion</td><td data-bbox="821 1394 1002 1459">10%</td><td data-bbox="1002 1394 1058 1459">✓</td><td data-bbox="1058 1394 1114 1459">✓</td><td data-bbox="1114 1394 1170 1459">✓</td><td data-bbox="1170 1394 1226 1459">✓</td><td data-bbox="1226 1394 1282 1459">✓</td><td data-bbox="1282 1394 1401 1459"></td></tr> <tr> <td data-bbox="503 1459 821 1524">2. Assignment or Test</td><td data-bbox="821 1459 1002 1524">20%-25%</td><td data-bbox="1002 1459 1058 1524">✓</td><td data-bbox="1058 1459 1114 1524">✓</td><td data-bbox="1114 1459 1170 1524">✓</td><td data-bbox="1170 1459 1226 1524">✓</td><td data-bbox="1226 1459 1282 1524">✓</td><td data-bbox="1282 1459 1401 1524"></td></tr> <tr> <td data-bbox="503 1524 821 1589">3. Presentation</td><td data-bbox="821 1524 1002 1589">15%-20%</td><td data-bbox="1002 1524 1058 1589">✓</td><td data-bbox="1058 1524 1114 1589">✓</td><td data-bbox="1114 1524 1170 1589">✓</td><td data-bbox="1170 1524 1226 1589">✓</td><td data-bbox="1226 1524 1282 1589">✓</td><td data-bbox="1282 1524 1401 1589"></td></tr> <tr> <td data-bbox="503 1589 821 1654">4. Final examination</td><td data-bbox="821 1589 1002 1654">50%</td><td data-bbox="1002 1589 1058 1654">✓</td><td data-bbox="1058 1589 1114 1654">✓</td><td data-bbox="1114 1589 1170 1654">✓</td><td data-bbox="1170 1589 1226 1654">✓</td><td data-bbox="1226 1589 1282 1654">✓</td><td data-bbox="1282 1589 1401 1654"></td></tr> <tr> <td data-bbox="503 1654 821 1732">Total</td><td data-bbox="821 1654 1002 1732">100 %</td><td colspan="6" data-bbox="1002 1654 1401 1732"></td></tr> </tbody> </table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: <u>Participation in discussion:</u> It allows students to freely share their views and experiences in achieving good corporate governance practices in the workplace. <u>Test/Assignment/Presentation/Final examination:</u>							Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d	e		1. Discussion	10%	✓	✓	✓	✓	✓		2. Assignment or Test	20%-25%	✓	✓	✓	✓	✓		3. Presentation	15%-20%	✓	✓	✓	✓	✓		4. Final examination	50%	✓	✓	✓	✓	✓		Total	100 %						
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	They require students to (a) understand and to apply the statutory and non-statutory regulations; (b) identify and to analyse business ethics issues and practices; (c) apply the concepts and principles of corporate governance to best practices with reference to other countries' best corporate governance practices; and (d) critically evaluate the effectiveness of the Hong Kong/PRC corporate governance system. <i>Note: In addition, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturer(s).</i> <i>To reflect the significant ethic content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning ethic-related knowledge.</i>	
Student Study Effort Required	Class contact:	
	▪ 13 weeks of 3 hours seminar each	39 Hrs.
	Other student study efforts:	
	Students are expected to prepare for the lectures/seminars, test, pre-assigned readings for discussion in class, group presentations and written reports.	78 Hrs.
	The total student study effort	117 Hrs.
Reading List and References	Bob Tricker, Corporate Governance, latest edition, Oxford University Press. Bob Tricker and Gregg Li, Understanding Corporate Governance in China, Hong Kong University Press Christine A. Mallin, Corporate Governance, latest edition, Oxford University Press. Mike Wright, Donald S. Siegel, Kevin Keasey, and Igor Filatotchev, the Oxford Handbook of Corporate Governance, latest edition, Oxford University Press. De Jonge, A., Corporate Governance and China's H-Share Market, latest edition, Edward Elgar. Erismann-Peyer, G., Steger, U., and Salzmann, O., The Insider's view on Corporate Governance: The Role of the Company Secretary, latest edition, Palgrave Macmillan. Corporate Governance – An International Review, Blackwell. Business Ethics, European Review, Blackwell Publishing (updated). Crone A., and Matten D., Business Ethics, latest edition, Oxford University Press. De George, Richard T., Business Ethics, latest edition, Prentice Hall.	

	Ferrell, O.C., Fraedrich, J. and Ferrell L., Business Ethics: Ethical Decision Making and Cases, latest edition, Houghton Mifflin Company. Fisher C. and Lovell A., Business Ethics and Values – Individual, Corporate and International Perspectives, latest edition, Prentice Hall. Journal of Business Ethics, Kluwer Academic Publishers. Velasquez, Manuel G., Business Ethics - Concepts and Cases, latest edition, Prentice Hall. Hong Kong Ethics Development Centre, Ethics in Management: A Resource Portfolio for Hong Kong Universities. Cheng, P.W., H.S. Sum and K.T. Yuen, The Hong Kong Company Secretary's Handbook: Practice & Procedure, latest edition, Longman. Stott, V., Hong Kong Company Law, latest edition, Longman. Gu Minkang, Understanding Chinese Company Law, Hong Kong University Press, latest edition. Companies Ordinance, Cap. 622 (and amendments) and all related rules, regulations & orders. Securities and Futures Ordinance, Cap. 571. Financial Reporting Council Ordinance, Cap. 588. Listing Rules, The Stock Exchange of Hong Kong Limited. The Codes on Takeovers and Mergers and Share Buy-backs, SFC. A Guide on Better Corporate Governance Disclosure, Hong Kong Institute of Certified Public Accountants A practical guide to good governance: Directors' Induction, Hong Kong Institute of Chartered Secretaries Guide for Independent Non-Executive Directors, latest edition, The Hong Kong Institute of Directors. Corporate Governance Guide for Boards and Directors, The Stock Exchange of Hong Kong Limited. Guidelines for Effective Audit Committees – Selection, Appointment and Reappointment of Auditors, Accounting and Financial Reporting Council, HK.
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